

CHAROTAR UNIVERSITY OF SCIENCE AND TECHNOLOGY

Master of Business Administration (MBA)

SEMESTER - I University Examination 2009-10

MB-705 MANAGEMENT PROCESS

Date: 08.01.2010, Friday

Time: 01:00p.m to 04:00p.m

Maximum Marks: 70

Instructions:

1. This paper contains six questions, of which the last one is the case analysis.
2. All questions are compulsory.
3. Each of the first five questions will carry 10 marks and the last case analysis will carry 20 marks.

Q.1 Identify the stakeholders of Maruti Udyog Ltd. and explain how the managers analyze competitive environment by use of Porter's Five Forces Model? 10

Q.2 a) Alan Mullaly, CEO, Ford Motors Co. identified the firm's greatest problems, selected the best solutions, and implemented them. 05

The firm with a view to have smaller number of brands in its portfolio started discounting some and selling others. The firm by selling its stake in the Aston Martin line (Sports Car) raised \$848 million which was invested for organizational restructuring. Further, it sold a subsidiary too. However, the Taurus' (car) brand which was abandoned earlier was reintroduced (by revamping its slow selling Five Hundred line) as Mr. Mullay felt that 'everybody has fond feelings for it'. Mr. Mullay went ahead with cost-cutting measures, including plant closing and job cuts – painful but necessary decisions.

How would you classify the decisions made by Mullay – maximizing, satisficing or optimizing? Explain your answer.

b) Discuss ways in which Maslow's Need Hierarchy affect individual behaviour. 05

Q.3 a) Malaria is one of the three fatal diseases in Africa. A pharmaceutical manufacturer Sanofi-Aventis and the Drugs for Neglected Diseases Initiative have entered into a collaboration to provide the new antimalarial drug (ASAQ) at an affordable price (50 cents for young children and \$1 for adults). Sanofi-Aventis has taken this initiative in the background of the fact that only 5% of the people who need antimalaria drugs get it. In order to make the drug available where ever it is needed, the firm has not patented the drug. Government and industry experts feel that the move is unprecedented in the current competitive scenario. You are required to use 'Global Corporate Social Responsibility Pyramid' and delineate the company's position. 05

b) "Mistakes and problems are inevitable in complex enterprises....We shouldn't expect heads of established organizations to be perfect, but we should expect them to catch and correct their mistakes quickly." – Rosabeth Moss Kanter, Professor, HBS
Explain the above statement in the light of different approaches to bureaucratic control. 05

Q.4 Assume that you are the General Manager of a company which produces variety of products in different product lines (SBUs). On account of changing market conditions, some of its products have declined in terms of market share. You need to establish priorities for making resource allocation decisions. Which Portfolio Matrix or Approach will help you for strategic decision making? Explain with its limitations. 10

Q.5 Not everything about American attitudes toward management is superior. We may have things to learn from our European counterparts-and they from us! - Otto H. Nowotny. Discuss the statement by comparing respective management philosophies.

Q.6 Case Analysis:

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Mini Dairy Farm Scheme - A Runaway Success*

The mini-dairy farm scheme launched by the Rs.44 crore Hatsun Dairy in Salem district has proved to be a runaway success. "We have already granted a loan of Rs.2 lakhs each for 12 such dairies and 18 more are under process. So far, there has not been a single defaulter", Mr. K. Natarajan, chief manager, State Bank of India, Attur branch. "We now plan to provide them loans for purchase of two-wheelers also as we have been highly impressed with their performance", he added. It was Attur branch of SBI, which boldly tied up with Hatsun Dairy to launch the scheme followed by Vijaya Bank in Mettur.

Plagued by chronic water scarcity, Salem and Namakkal districts have hardly any remunerative farming. Hence, they have been forced to look for avocations that could sustain them. Born were the lorry body building and poultry units, granite and magnesite quarrying. Animal husbandry has also been basically sound in this region.

This region, which has enormous potential for dairying, has a history of substantial bankers' involvement in dairy development, points out Dr. A.M.V. Reddy, basically a veterinarian and the Assistant General Manager, SBI, Salem Main Branch. "Our bank has come forward once again to help dairying in a big way and we are prepared to help to any extent," Mr. S. Deivanayagam, Regional Manager, SBI, Coimbatore, told this correspondent distributing assistance for mini dairies at Navakurichi, about 80 km from here, last November.

As a first step, it granted a loan of Rs.50 lakhs to 25 farmers through the Attur branch to set up mini-dairies of ten animals each in a tie-up with Hatsun Dairy. It was the responsibility of the dairy to identify the beneficiaries, provide them all technical support, recommended them to the bankers and also to ensure recovery by procuring milk from them. "The system is much like that of sugar mills which register cane in advance," observed Mr. R. Chandramohan, Managing Director, Hatsun.

Salem is one of the districts where cooperative and private sector dairying has been on a sound footing. The Salem District Cooperative Milk Producers' Union has already a handling capacity of three lakh litres a day and is trying to expand it by one more lakh litres. Hatsun, which has been operating here in the last five years, has a handling capacity of 1.3 lakh litres and has a more ambitious target. Such a competitive atmosphere, aided by dedicated bank assistance, has boosted the morale of dairy farmers. Mr. K.S. Dhanraj, Joint Managing Director, Hatsun, observes that the most interesting feature is a number of educated men are also willing to take up dairying.

Navakurichi village alone supplies more than 5,000 litres of milk - about 2,200 litres to Hatsun, and an equal measure to the Aavin and the balance to a few private vendors. Mr. M. Selvaran, plant manager, Hatsun, points out that the contribution of per animal to a farmer is around Rs.1,000 a month and the entry of Hatsun has had an immense impact on the rural economy.

Mr. Chandramohan said the dairy which started with 750 litres now procured more than one lakh litres from 400 villages in Salem and Namakkal districts from about 16,000 farmers involving more than 61,000 animals. "By the turn of the century we are confident of enrolling 25,000 farmers involving at least one lakh animals". He said Hatsun had not stopped with mere procurement and marketing but was interested in the "overall

development" of dairying itself. Apart from providing veterinary assistance round-the clock on all milk routes, it had set up an R and D centre at a cost of Rs.6 lakhs wherein it was demonstrating latest technologies like "heat stress", milking machines, fodder development and the like. Already it had been arranging training classes in collaboration with the TANUVAS. The Hatsun MD said the company was also organising "camps" for the animal population to coordination with the Animal Husbandry Department and providing artificial insemination. "We are trying for upgrading of both income and knowledge of our farmers. We propose to extend group insurance schemes also. Our objective is to make this a model dairy".

He said the concept of mini-dairy farms was born because most suppliers to Hatsun had just two or three animals. While mini-dairy farms could uplift these people economically, it would also help Hatsun in a big way in procurement. "Thus we started promoting mini-dairy farms. While SBI has already assisted launching of about a dozen such units, Vijaya Bank has assisted 11 and Lakshmi Vilas Bank is also interested. Besides, on seeing the success of the Navakurichi project, enquiries are coming in from many other places as well. We are hopeful of launching at least 300 such dairies by the turn of the century."

He points out that the major assistance provided by Hatsun to mini-dairy farms was not only getting them bank loans but also providing them veterinary assistance. As their marketing is ensured and their proceeds deposited in the concerned bank branches concerned recovery is also no problem. "Our next focus would be on Namakkal district," he adds.

** Source: Reproduced from THE HINDU 5 November 1998. Article by G. Satyamurty*

Questions:

- (i) Identify three key strategic factors that helped Hatsun Dairy to achieve success?
 - (ii) Explain three pre-conditions for emergence of entrepreneurial activity.
 - (iii) Critique the roles played by Managing Director and Bank Mangers in the case by using the conceptual frameworks you learned from Management Process course.
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